

15-4b The Moral of the Story

Like any parable, the story of Readalot Publishing is stylized. Yet also like any parable, it teaches some general lessons. In this case, we can learn three lessons about price discrimination.

The first and most obvious lesson is that price discrimination is a rational strategy for a profit-maximizing monopolist. That is, by charging different prices to different customers, a monopolist can increase its profit. In essence, a price-discriminating monopolist charges each customer a price closer to her willingness to pay than is possible with a single price.

The second lesson is that price discrimination requires the ability to separate customers according to their willingness to pay. In our example, customers were separated geographically. But sometimes monopolists choose other differences, such as age or income, to distinguish among customers.

A corollary to this second lesson is that certain market forces can prevent firms from price discriminating. In particular, one such force is *arbitrage*, the process of buying a good in one market at a low price and selling it in another market at a higher price to profit from the price difference. In our example, if Australian bookstores could buy the book in the United States and resell it to Australian readers, the arbitrage would prevent Readalot from price discriminating, because no Australian would buy the book at the higher price.

The third lesson from our parable is the most surprising: Price discrimination can raise economic welfare. Recall that a deadweight loss arises when Readalot charges a single \$30 price because the 400,000 less enthusiastic readers do not end up with the book, even though they value it at more than its marginal cost of production. By contrast, when Readalot price discriminates, all readers get the book and the outcome is efficient. Thus, price discrimination can eliminate the inefficiency inherent in monopoly pricing.

Note that in this example the increase in welfare from price discrimination shows up as higher producer surplus rather than higher consumer surplus. Consumers are no better off for having bought the book: The price they pay exactly equals the value they place on the book, so they receive no consumer surplus. The entire increase in total surplus from price discrimination accrues to Readalot Publishing in the form of higher profit.